

Reposition an underperforming portfolio offering

Application Managed Services: strong technical delivery, but commercially stuck — flat net sales, declining gross margin, Sales cannot articulate value, inconsistent regional pricing.

NET SALES (2 YEARS)

Flat

Weak conversion · little attach

GROSS MARGIN (ILLUSTRATIVE)

28% → 22–24%

–4 to –6 percentage points over 2 years

DELIVERY SATISFACTION

Strong

Execution is not the failure mode

EXECUTIVE FRAMING

Commercial and go-to-market problem — not a delivery turnaround. Sold as headcount; buyers purchase outcomes, cost predictability, and risk reduction. Decide evolve / reposition / sunset with evidence; fix packaging, pricing discipline, and Sales enablement.

AGENDA · 10 MINUTES (+ 5 MINUTES QUESTIONS)

1 Diagnose → 2 Decide → 3 Package & price → 4 Prioritize & align → 5 Measure & ask

Leadership question: evolve, reposition, or sunset — with a plan Sales, Deal Desk, Finance, and regions can run.

Strong delivery. Broken commercial model. → Reposition.

WIN / LOSS

15–20 deals: price-only vs value unclear

MARGIN

Discount · transition · unpaid scope

COMPETITIVE

Staff augmentation vs outcome peers

CUSTOMER VOICE

High satisfaction + low willingness to pay

PORTFOLIO FIT

18-month margin path? Pull-through?

Commoditized packaging

Level-1/2/3 staffing towers — procurement benches us vs systems integrators

Pricing chaos

Regional discounts · underpriced knowledge transfer · unpaid scope creep

Value story gap

Buyers want outcomes; Sales pitches headcount replacement

SUNSET

Only if no 18-month margin path.

EVOLVE ONLY

Tooling without new sellable unit.

REPOSITION ✓

Stabilize → Optimize → Transform

Sell tiers and outcomes — not staffing towers

Outcome-tiered managed applications — restore control, improve total cost of ownership where contracted, globally consistent Sales story with Deal Desk discipline.

STABILIZE

Restore control

- Service-level baseline · single accountability
- Top-offender program
- Platform + criticality class
- Floor gross margin $\geq 22\%$

OPTIMIZE

Prove efficiency

- Monitoring pack · runbook automation
- Outcome-band vs service levels
- Optional gain-share
- Floor gross margin $\geq 26\%$

TRANSFORM

Operating-model uplift

- Continuous improvement · standard changes
- Milestone elements (Finance sign-off)
- Executive scorecard
- Floor gross margin $\geq 28\%$

MODULAR ATTACH · PRICED · MULTI-VENDOR GOVERNANCE ONLY WHEN WIN/LOSS SHOWS DEMAND

Mandatory knowledge-transfer on new logos · Optional top-offender / monitoring packs · Consolidation = applicable possibility, not required strategy

Deal Desk rules that stop the bleed — fund return first

PRICING GUARDRAILS

Floor gross margin

Stabilize $\geq 22\%$ · Optimize $\geq 26\%$ · Transform $\geq 28\%$

Maximum discount

$\leq 12\%$ off list ($\leq 8\%$ renewals) — trade scope / term

Transition pricing

Knowledge-transfer mandatory · min 8% Year-1 value

Scope change

Unpaid work cap 2% annual contract value

Regional variance

Like-for-like within $\pm 15\%$ of global rate card

Credits / penalties

Soft-ramp M1–6 · Finance revenue-recognition sign-off

FUND · HIGH RETURN

- Q1: Rate card · tiers · Deal Desk toolkit
- Q2: Service-level catalogue · 2 pilots
- Q3–4: Packs · renewal step-up · scale
- Year 2: Retire headcount-only contracts

STOP / DEPRIORITIZE

- × Per-account custom tooling builds
- × Below-floor proofs of concept
- × Regional bespoke rate cards
- × Rebrand without Sales / Deal Desk kit

One program — Sales, Marketing, Finance, regions

SALES / DEAL DESK

≥80% bids on tier + rate card by Q2

Discovery kit · ROI calculator · weekly reviews

MARKETING

One narrative: Application Ops by tier

One-pagers · proof stories · retire staffing language

FINANCE

Revenue recognition · margin floors

Platform vs milestone memo · bid sign-off

REGIONS / DELIVERY

Pilots hit service-level catalogue

Knowledge-transfer playbook · renewal step-ups

12-MONTH SCOREBOARD · Quarterly Pricing Council

Net sales Flat → +8–12% Gross margin recover 3–4 pts (e.g. →25–27%) Tier adoption ≥80%

Price variance <15% Wins on value/total-cost ≥40% Renewal step-up ≥25%

Feedback: monthly Deal Desk overrides + change requests → quarterly Pricing Council (±3% rate card) → annual sunset re-test

Reposition. Land with tiers. Expand when value is proven.

THE CALL

Reposition Application Managed Services as Outcome-Tiered Application Operations (Stabilize → Optimize → Transform). Do not sunset a delivery-capable franchise. Do not evolve tooling without fixing the sellable unit. Fund guardrails in Quarter 1; pilot in two regions; measure with a quarterly Pricing Council.

THOUGHT PROCESS

- Evidence before instinct — five-lens diagnostic
- Separate delivery quality from commercial failure
- Decide with trade-offs; fund Sales motion first
- Optional packs only when win/loss data says so

ASK OF LEADERSHIP

- Approve reposition + global rate card
- Stand up Deal Desk guardrails this quarter
- Authorize two regional pilots
- Name Product owner + monthly steering

QUESTIONS · 5 MINUTES · Deep dive: HTML case study